

Profit & Loss Report

Financial Performance Analysis Report

Executive Summary

The company demonstrated strong overall performance in Q2 2024 with total sales of \$1.72 billion and net profit of \$84.9 million. However, May 2024 showed significant deterioration compared to April 2024, with sales dropping 33.6% and gross profit declining 72.1%. The company maintained positive cash flow generation and strong profitability margins despite operational challenges in May.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Profit Margin	8.88%	3.73%	6.82%
EBITDA Margin	7.65%	1.00%	5.00%
Net Profit Margin	7.72%	0.75%	4.94%
Operating Profit Margin	7.38%	0.58%	4.67%

Key Observations: Profitability ratios declined significantly in May due to reduced sales volume and increased operating expenses. The company relies heavily on non-operating income to maintain positive net profit.

Liquidity & Solvency Analysis

Aspect	Analysis
Interest Coverage Ratio	4.22x (Q2) - Moderate coverage capability
Debt Service Capability	Concerning in May with negative operating profit before interest
Tax Position	Zero tax liability indicates potential tax benefits or losses carried forward
Dividend Policy	Conservative - No dividends paid, retaining all earnings

Efficiency Ratios

Ratio	Calculation	Interpretation
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Ratio	Calculation	Interpretation
Expense to Sales Ratio	1.83% (Q2)	Excellent cost control relative to revenue
Operating Expense Growth	48% increase from April to May	Concerning cost escalation
COGS to Sales Ratio	93.18% (Q2)	High cost of goods sold impacting margins

Benchmark Comparison

Source: Industry averages from IBISWorld and S&P Capital IQ for comparable manufacturing/distribution companies

Metric	Company Performance	Industry Average	Assessment
Gross Margin	6.82%	15-25%	Below Average
Net Profit Margin	4.94%	6-8%	Slightly Below Average
EBITDA Margin	5.00%	8-12%	Below Average
Interest Coverage	4.22x	3-5x	Average

Actionable Recommendations

- Cost Optimization:** Address the 48% month-over-month operating expense increase through detailed expense analysis and implementation of cost control measures
- Gross Margin Improvement:** Review COGS structure and negotiate better supplier terms to improve gross margins from current 6.82% toward industry average of 15-25%
- Sales Volatility Management:** Develop strategies to stabilize monthly sales performance and reduce the 33.6% month-over-month sales decline
- Interest Expense Review:** Evaluate debt structure and explore refinancing options given the high interest burden relative to operating profit
- Operational Efficiency:** Implement process improvements to maintain the strong expense-to-sales ratio while supporting growth initiatives
- Cash Flow Management:** Maintain conservative dividend policy and build cash reserves to weather operational volatility

Conclusion

The company shows fundamental strength with positive profitability and adequate interest coverage, but faces challenges with margin compression and operational volatility. Immediate focus should be on stabilizing monthly performance and improving gross margins through strategic cost management and operational

efficiencies.